

# 2020 FINANCIAL REGULATIONS REVENUE REPORT

## CONSTITUTIONAL AGENCIES

---

### 1. INTRODUCTION

---

This report aims to provide a summary of revenue collecting agencies that make up the Constitutional Agencies of the Government in 2020.

Together the Constitutional Agencies are budgeted to collect a revised<sup>1</sup> budget of **VT 9,163.4 million** in form of fees and charges. This is **30.6 percent** of total budgeted Government revenue.

**99.6 percent** of the Constitutional Agencies' revenue budget is collected by the State Law Office (SLO) and the Citizenship Office through the Honorary Citizenship Program fees. It is to be noted that a majority of the institutions are not revenue generating institutions. They mostly operate a user charge fee or a basic fee for services provided. Clients or users of services provided, pay these fees before services are provided.

**Table 1.1. Constitutional Agencies who are Revenue Collecting Agencies:**

| Constitutional Agency     | Total Constitutional Agencies<br>% Share of Revenue |
|---------------------------|-----------------------------------------------------|
| Citizenship Office        | 98.4%                                               |
| State Law Office          | 1.2%                                                |
| Judiciary                 | 0.22%                                               |
| Public Service Commission | 0.2%                                                |
| Parliament                | 0.02%                                               |
| Public Solicitor          | 0.01%                                               |

### 2. 2020 REVENUE UPDATE

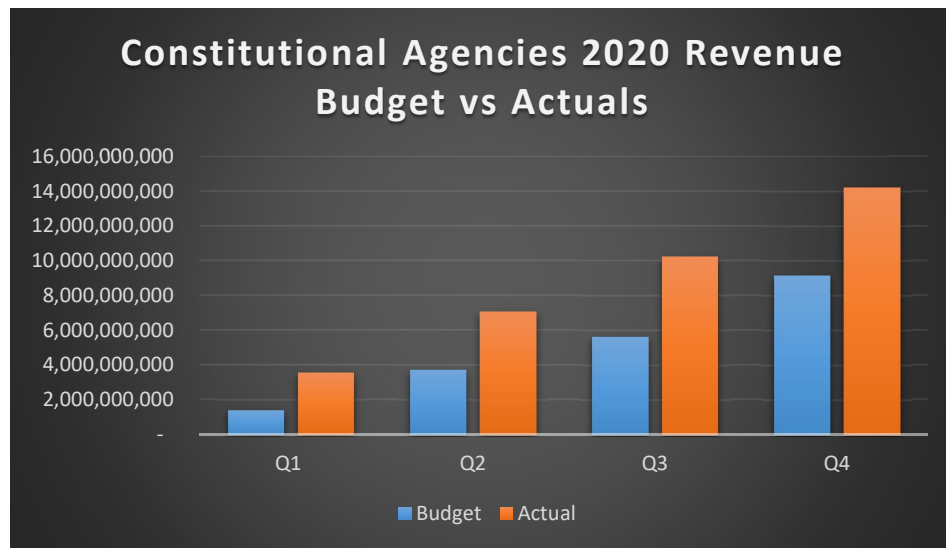
---

Graph 2.1 below shows cumulative Constitutional Agencies' revenue budget for each progressive quarter against the actual revenue collected.

---

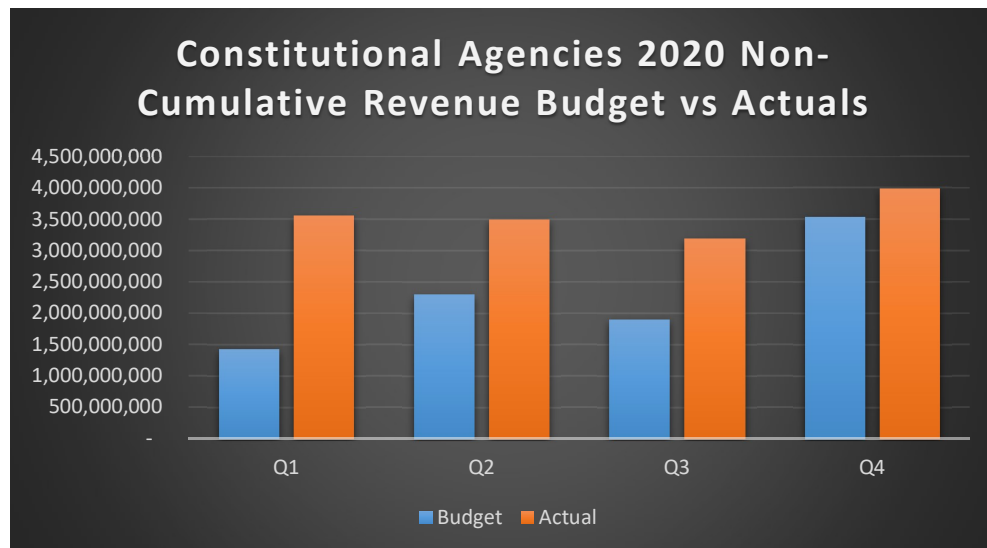
<sup>1</sup> Owing to the COVID-19 crisis and the exemptions made as part of the Government's economic stimulus as well as the Tropical Cyclone Harold disaster, budgeted revenue was revised in June.

**Graph 2.1. Constitutional Agencies' Cumulative Quarterly Revenue Budget vs Actual**



At the end of 2020, the Constitutional Agencies collected a total revenue of **VT 14,218.7 million**, **VT 5,071.6 million** more than target. The Citizenship Office collected **95.1 percent** of total collection. The State Law Office (SLO) and the Public Service Commission (PSC) also contribute to the strong revenue collection.

**Graph 2.2. Constitutional Agencies' Non-Cumulative Quarterly Revenue Budget vs Actual**



The non-cumulative data in the above graph aims to show the revenue collected in each quarter. Collection over each quarter in 2020 have surpassed their planned collection.

### 3. GENERAL DISCUSSIONS - REVENUE COLLECTION BY CONSTITUTIONAL AGENCIES

---

Annex 1 of this report provides an overview of the specific revenue collected within the Constitutional Agencies in 2020.

Revenue Collections by individual Agencies are presented in Table 3.1

**Table 3.1 Brief Summary – 2020 Revenue Budget vs Actuals**

|                           | Revised 2020 Annual Revenue Budget | 2020 Actuals          | Variance             |
|---------------------------|------------------------------------|-----------------------|----------------------|
| Citizenship Office        | 9,018,768,437                      | 13,518,997,456        | 4,500,229,019        |
| Judiciary                 | 20,008,707                         | 23,660,135            | 3,651,428            |
| Parliament                | 1,,692,435                         | -                     | -1,692,435           |
| Public Service Commission | 14,845,595                         | 26,267,256            | 11,421,761           |
| Public Solicitor          | 777,662                            | 840,067               | 62,405               |
| State Law Office          | 107,220,169                        | 648,899,572           | 541,679,403          |
| <b>Total</b>              | <b>9,163,312,905</b>               | <b>14,218,664,486</b> | <b>5,071,635,817</b> |

#### 3.1.Citizenship Office

The Citizenship Office currently runs the Vanuatu Citizenship by Investment (CBI) program. CBI programs “help create significant sovereign and societal value through transferring assets from wealthy individuals to developing countries”, supporting fiscal independence and address growing imbalances and inequalities inherent to traditional sovereign debt financing. Vanuatu is one of at least 13 countries globally offering CBI programs and one of more than 60 countries offering Immigration Investment

Vanuatu’s CBI program is offered through its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) which alone has been budgeted to collect **30.6 percent** of the revised 2020 National Revenue Budget.

Citizenship Office revenue collected from the CBI program, recorded as Honorary Citizenship Program Fees, has been forecasted to collect **VT 9,018.8 million** this quarter. Actual collections collected by the Citizenship Office (this excludes fees from the program collected by other agencies like SLO, the Civil Registry and Immigration Office) however, recorded an amount of **VT 13,519.0 million** at year end. Despite the COVID-19 crisis, the program is still operating and receiving applications electronically, thus the strong collection.

Total revenue gained from other fees exceeded the quarter’s budget. These are collections from fees for other services provided by the Office. The services are administrative citizenship services like citizenship application form fees and certificate printing fees. The trend is expected to continue as the VDSP and VCP programs continue.

The Program has made headlines in Vanuatu where concerns have been raised on it being an unsustainable Government revenue. However, given the significant portion the program makes

to the national revenue basket and thus the expenditure, any changes to the program must be carefully thought out.

### 3.2.State Law Office

The principle function of the State Law Office (SLO) is to provide legal advice to the Government and to represent the Government in Court. In addition, the Office provides legislative drafting services and provides policy advice to government as a result of litigation. The agency also carries out the financial intelligence services for the Government under the Anti-Money Laundering & Counter Terrorism Financing Act No. 13 of 2014 ("AML&CTF Act"). The Financial Intelligence Unit (FIU) generates more than **90 per cent** of the revenue recorded under this Constitutional Body.

At the end of 2020, the overall State Law Office revenue collection recorded an amount of **VT 649.9 million**. SLO revenue collection exceeding its annual revenue budget target by **VT 541.7 million**.

Revenue collected from court cost recoveries, other fines and publications have exceeded the quarter's budget target. **96.8 percent** of the revenue collected by the State Law Office are from Due Diligence fees that directly relate to the Honorary Citizenship Program. Successful citizenship holders from the Vanuatu Development Support Program (VDSP) and Vanuatu Development Program (VDP) are obligated under the law to undergo a due Diligence check by the Financial Intelligence Unit (FIU). The SLO through its FIU have successfully exceeded their 2020 revenue target.

The FIU collected Due Diligence fees will follow a similar trend to the revenue collected from the Citizenship program. As the Citizenship program revenue increases, so will the due diligence fees and other related fees collected within the State Law Office.

### 3.3.Parliament

The revenue planned for collection under the Parliament is collected from Rental fees in particular their premises that is hired by Air-Vanuatu for their Catering services. Given that the premises is no longer used for the catering services, the Parliament has not collected any revenue this year.

### 3.4.Public Solicitor

The revenue collected under the Public Solicitors office is related to the user charge fees imposed for the service provided. The office collected **8.0 percent** more than its budget target this year. The collection recorded as Other Fees is from services provided for new mortgage and advice fees as well as new client fees.

### 3.5.Judiciary

The biggest share of revenue collected from Judiciary is related to court fines imposed by this Constitutional Body. The Supreme Court usually records the highest share of Court Fines as revenue, followed by the Magistrate Courts and then the Island Courts. Usually, fines must be settled before a service is provided by Judiciary. The Judiciary's 2020 revenue collection was only **18.2 percent** more than its budget target. **20.9 percent** of the revenue collection were recorded as Court Cost Recoveries. This unbudgeted revenue item includes administrative fees like Court fees-civil cases, Island/Magistrate/Supreme Court fees and Land Appeal fees.

### **3.6.Public Service Commission**

The Public Service Commission (PSC) recorded a revenue collection of **VT 26.3 million** in the 2020 financial year. The actual revenue collection is **76.9 percent** more than budget indicating Government house rental compliance. Government House Recoveries are rentals collected from Government Housing properties and its collections make up **97.0 percent** of PSC's collections this quarter.

## **4. OVERALL PERSPECTIVE ON 2020 REVENUE PERFORMANCE**

On the overall outlook, the revenue collecting items within the Constitutional Agencies are on target. The major revenue collecting agencies, the Citizenship Office and the State Law Office through the Financial Intelligence Unit (FIU) have performed exceptionally well. It is therefore important to stress that changes to the nations' CBI programs must be carefully considered given the significant contribution they make to the National Budget.

## ANNEX

| Department                               | 2020 Revised Revenue Budget | 2020 Actuals          | Variance             |
|------------------------------------------|-----------------------------|-----------------------|----------------------|
| <b>Citizenship Office</b>                | <b>9,018,768,437</b>        | <b>13,518,997,456</b> | <b>4,500,229,019</b> |
| Capital Investment Immigration Plan Fees | -                           | 10,000                | 10,000               |
| Honorary Citizenship Program Fees (VERP) | -                           | 1,845,830             | 1,845,830            |
| Honorary Citizenship Program Fees        | 9,000,000,000               | 13,491,436,604        | 4,491,436,604        |
| Other Fees                               | 17,150,839                  | 24,216,601            | 7,065,762            |
| Application Charges Recoveries           | 1,617,598                   | 1,488,421             | -129,177             |
| <b>Judiciary</b>                         | <b>20,008,707</b>           | <b>15,302,965</b>     | <b>3,651,428</b>     |
| Stationery Sales                         | -                           | 6,750                 | 6,750                |
| Equipment Disposals                      | -                           | -                     | -                    |
| Furniture & Fittings Disposal            | -                           | -                     | -                    |
| Other Asset Disposals                    | -                           | 20,000                | 20,000               |
| Other Fees                               | -                           | -                     | -                    |
| Other Fines                              | 118,083                     | -                     | -                    |
| Court Costs Recoveries                   | -                           | 18,676,635            | 1,213,990            |
| Court Fines                              | 19,890,625                  | 4,956,750             | 4,956,750            |
| <b>Parliament</b>                        | <b>1,692,435</b>            | <b>-</b>              | <b>- 1,692,435</b>   |
| Other Recoveries                         | -                           | -                     | -                    |
| Rents & Leases Recoveries                | 1,692,435                   | -                     | -                    |
| France Contributions                     | -                           | -                     | -                    |
| <b>Public Service Commission</b>         | <b>14,845,495</b>           | <b>26,267,256</b>     | <b>11,421,761</b>    |
| Miscellaneous Charges                    | -                           | -                     | -                    |
| Vehicles Disposals                       | 658,014                     | 581,000               | -77,014              |
| Government Houses Recoveries             | 12,703,975                  | 25,469,256            | 12,765,281           |
| Vehicle Hire                             | -                           | 217,000               | 217,000              |
| Rents & Leases Recoveries                | -                           | -                     | -                    |
| Valuations Recoveries                    | 1,483,506                   | -                     | -1,483,506           |
| Vanuatu Government Contributions         | -                           | -                     | -                    |
| <b>Public Solicitor</b>                  | <b>777,662</b>              | <b>840,067</b>        | <b>62,405</b>        |
| Court Costs Recoveries                   | -                           | -                     | -                    |
| Other Recoveries                         | 777,662                     | 840,067               | 62,405               |
| <b>State Law Office</b>                  | <b>107,220,169</b>          | <b>648,899,572</b>    | <b>541,679,403</b>   |
| Honorary Citizenship Program Fees        | 105,120,134                 | 633,113,827           | 527,993,693          |
| Other Fines                              | 843,448                     | 2,000,000             | 1,156,552            |
| Court Costs Recoveries                   | 451,070                     | 3,340,058             | 2,888,988            |
| Publications Revenue                     | 805,517                     | 10,445,687            | 9,640,170            |
| <b>Total</b>                             | <b>9,163,435,243</b>        | <b>14,218,664,486</b> | <b>5,071,635,817</b> |